



Reserve Bank
of New Zealand
Te Pūtea Matua

Protecting independence while embracing partnership

Opening remarks to the Directors and Senior Officers
(DSO) Workshop in Auckland

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Protecting independence while embracing partnership

Tēnā koutou katoa.

It's great to be back again to open proceedings at the Directors and Senior Officers (DSO) workshop for our regulated entities. As my last time as Governor, I thought it fitting to share some reflections on central bank independence after nearly 30 years in and around central banking.¹

In the process, I want to:

- Reaffirm the crucial importance of protecting operational independence.
- Explain that central bank independence does not have to mean working in isolation. In my view, a clear division of roles and responsibilities between government and central bank can enable an effective partnership, ultimately supporting prosperity and wellbeing of New Zealanders.
- Argue that the need for partnership extends much beyond government and central bank, into other regulators, the financial industry, fintechs, academics, business sector, communities, iwi and a range of other government agencies. This will be crucial to successfully shape the future of money, the future of cash, the future of banking, the future of payments and the future of insurance.

Introduction

You do not have to look far to see central bank independence under attack.

Ten years ago, it would be unheard of for a US President to openly disagree with interest rate policy or call the US Federal Reserve Chairman a string of names and insults. It has now become commonplace. The worry amongst the global central banking community is that this rubs off and becomes normalised internationally.

The period of the 1990s and 2000s was probably when central bank independence had the most support. This was the period of the so-called Great Moderation of low and stable consumer price inflation, and long unbroken periods of real economic expansion.

That level of support and acceptance has been eroded since the Global Financial Crisis (GFC) and the Covid-19 pandemic. Through these periods there have been episodes of lower growth and higher inflation; a perceived blurring of lines between monetary policy and fiscal policy (especially through central bank balance sheet expansion); and the cost of living has become an increasingly political issue globally.

¹ For those interested in a more fulsome account on the topic, I would recommend the work of Dr Chris Hunt (2017) [2017dec80-11.pdf](#), Professor Bob Buckle (2023) <https://www.rbnz.govt.nz/-/media/project/sites/rbnz/files/publications/speeches/2023/bob-buckle-nzae-speech-final-21-june.pdf> and Sir Paul Tucker's book *Unelected Power*, 2018.

Operational independence for monetary policy

Taking a step back, it is useful to remind ourselves why operational independence for monetary policy is important and how it came about.

It deals with the so-called time inconsistency problem when politicians set monetary policy.

That is, even if politicians say that they want monetary policy formulated to achieve low and stable inflation, they have the incentive to boost economic growth ahead of an election to get re-elected at the expense of higher inflation. This incentive to “cheat” undermines their promise. As a result, inflation expectations remain elevated to factor in the chance of high inflation, and this is reflected in wage and price setting behaviour. Periods of high and variable inflation are also damaging for long-term economic growth prospects. This is the story of the 1970s and 1980s.

Providing operational independence to a credible central bank to formulate monetary policy takes away this incentive “to cheat” and so helps anchor inflation expectations. While central banks like the Bundesbank, the Swiss National Bank, the US Federal Reserve had become increasingly independent, New Zealand was the first country to formalise operational independence into legislation, as part of the first inflation targeting regime introduced in 1990. Both elements have since been adopted around the world.

At the same time, in New Zealand a framework for fiscal responsibility was introduced, to ensure that monetary policy had friends in the form of fiscal policy focused on long-term sustainability. In practice, a key element of this has been self-imposed fiscal rules for a target level and trajectory of government debt to GDP.

Operational independence not isolation

It is equally important to remind ourselves that we are talking about “operational independence”, not complete autonomy or isolation.

Monetary policy is most effective when there are clear, transparent, measurable targets, and a high degree of credibility in the targets. Having these objectives set by elected officials is important for democratic legitimacy and promotes long-run credibility of the regime. In New Zealand, the Minister of Finance is the minister responsible for the Reserve Bank and its legislation.

In that sense, politicians have a critical role to play in monetary policy: owning the legislation (Reserve Bank of New Zealand Act 2021), setting the policy objective, and outlining these in detail in the Monetary Policy Remit. In these aspects, the Minister of Finance is the decision maker, with the Reserve Bank providing advice.

These objectives need to be clear, quantitative, and measurable. Ideally, in my view, the objective needs to be hierarchical, with inflation above all other considerations, so there is no question that low and stable medium-term inflation will be compromised to achieve other short-term objectives.²

² Remit Review advice from 2022/2023. <https://www.rbnz.govt.nz/monetary-policy/about-monetary-policy/remit-review>

Once these targets are set, it is crucial that the Reserve Bank has, and is perceived to have, full operational independence to pursue these objectives, including appropriate financial arrangements that allow the room to respond to a range of circumstances with the appropriate tools. I can recommend the recent speech by my colleague, Paul Conway, as an excellent account of how independent monetary policy and fiscal policy can work alongside each other, both in peace times and periods of crisis.³

At the same time, the huge responsibility of having operational independence for monetary policy decisions needs to go hand in hand with transparency and accountability. This occurs through a range of channels, including the intense scrutiny of *Monetary Policy Statements*, publications, research, projections, press conferences, speeches, parliamentary hearings, media coverage, Board governance oversight, monitoring from the Treasury, and scheduled reviews.

This emphasis on accountability is important because one of the major political benefits of an operationally independent central bank is distancing themselves from the decisions. That is, the government not taking the blame from voters for the short-term pain that can be caused by monetary policy – e.g. when interest rates have to rise to keep inflation down – for the medium- to long-term economic gain. And vice versa on the other side of the economic cycle.

Operational independence and financial stability

The Reserve Bank of New Zealand is a so-called full service central bank, responsible for monetary policy and financial stability, including the prudential regulation of deposit takers, insurers and financial market infrastructures.

A sound and well-functioning financial system – encompassing markets, institutions, and payment systems – serves as a public good, much like physical infrastructures such as transport, energy, water, and communications, which benefit society broadly beyond individual users. At the same time, we know that financial systems can be inherently fragile, vulnerable and highly interconnected, meaning a failure in one part can quickly spread and endanger the wider system as a whole. This is what motivates the public policy case for a resilient financial system.

There is much less discussion in the popular media about operational independence when it comes to the responsibility of central banks for financial stability. There are some parallels with monetary policy, but also many important differences that I will come to later.

The first similarity is there is a time inconsistency problem if decisions were left solely with politicians. Elected officials could have the incentive “to cheat” by relaxing prudential settings at politically convenient times to boost economic growth, potentially to the detriment of overall financial stability at a later stage. This is what motivates the need for operational independence for the long-run credibility and continuity of the regime, to support trust and confidence in there being a resilient financial system.

³ Paul Conway's speech on monetary policy and fiscal policy co-ordination. <https://www.rbnz.govt.nz/-/media/project/sites/rbnz/files/publications/speeches/2025/lessons-from-monetary-and-fiscal-policy-during-covid-19-speech.pdf>

Again, to ensure democratic legitimacy and promote long-run credibility, an elected official in the form of the Minister of Finance needs to ultimately own the legislation underpinning the Reserve Bank's responsibility for financial stability. On these foundations of the regime, the Minister of Finance is the decision maker, with the Reserve Bank providing advice.

In New Zealand, this is covered by a range of legislation that captures the purposes, principles and policy objectives set for the prudential regulator.⁴ The Financial Policy Remit outlines issues that the Minister considers are desirable for the financial system. These priorities are generally consistent with the government's other objectives. For example, the current Financial Policy Remit has a strong emphasis on competition and innovation. The Reserve Bank must have regard to the Financial Policy Remit when performing its prudential role, such as when it is issuing prudential standards.

Similarly to setting monetary policy, operational independence as a prudential regulator and supervisor creates the space for technicians to design and implement prudential standards, and for them to be supervised and enforced against without scope for political inference. It creates the arm's length to keep politicians safe, particular on matters relating to individual institutions, providing the ability for them to say, "you need to speak to the regulator". While the Reserve Bank as the "resolution authority" is responsible for resolution planning and, if necessary, conducting the resolution of a failed institution, given the possible systemic impact of a resolution action and the potential for the use of public funds the Governor General on advice of the Minister of Finance retains the final decision as to whether an institution is placed into resolution.

Like setting monetary policy, operational independence also needs to go hand in hand with a high degree of transparency and accountability. This comes through accountability documents like *Financial Stability Reports*, research, press conferences, speeches, parliamentary hearings, media coverage, Board governance oversight, monitoring from the Treasury, the extensive use of consultations with the industry on regulatory changes, the publication of regulatory impact statements for significant changes, and the use of independent experts to provide advice and external scrutiny.

Working in partnership

The table on the next page provides a very high level, stylised decision rights matrix under our current regime. While respecting each other's roles, in my view, a clear division of roles and responsibilities between government and central bank can enable an effective partnership, ultimately supporting the prosperity and wellbeing of New Zealanders.

⁴ Reserve Bank of New Zealand Act (RBNZ Act 2021), Banking (Prudential Supervision) Act (BPSA 1989), Non-bank Deposit Taker Act (NBDTA 2013), Insurance Prudential Supervision Act (IPSA 2010), and the Financial Market Infrastructures Act (FMI Act 2021). From 2028, BPSA and the NBDT Act will be replaced by the Deposit Takers Act (DTA 2023).

	Decide	Advise	Informed
Monetary policy legislation (RBNZ Act 2021)	MoF	Treasury/RBNZ	
Monetary policy objective (Monetary Policy Remit)	MoF	Treasury/RBNZ	
Monetary policy formulation, decisions (Monetary Policy Committee)	RBNZ		MoF
Monetary policy tools (on RBNZ balance sheet)	RBNZ		MoF
Prudential legislation (BPSA, DTA, NBDT Act, IPSA, FMI Act)	MoF	RBNZ/Treasury	
Prudential objectives (including the Financial Policy Remit)	MoF	Treasury/RBNZ	
Prudential policy formulation (standards) (Financial Policy Committee) ⁵	RBNZ		MoF
Prudential supervision and enforcement	RBNZ		MoF
Resolution planning	RBNZ	MoF (consult)	
Start and end of resolution	Governor General	MoF (on recommendation of RBNZ)	

In my experience, this sense of partnership needs to be even stronger when it comes to financial stability, for several reasons:

- Financial stability is much harder to define than monetary stability.⁶ As such, it is not well suited to a quantitative measure that can be used for transparency, accountability and legitimacy in the same way as a numerical 1 to 3 percent inflation target for monetary policy.
- A resilient financial system is just one enabler of long-term prosperity and wellbeing. Having a financial system that is competitive, efficient, innovative and inclusive are also important enablers. As such, there is more potential for trade-offs when setting prudential policy, compared with monetary policy where medium-term inflation has a clearly paramount position.

⁵ The Financial Policy Committee of the Reserve Bank is being established in 2026, as a committee with formal policy decision-making authority from the RBNZ Board. <https://www.rbnz.govt.nz/hub/news/2025/10/reserve-bank-establishes-new-financial-policy-committee>

⁶ Resilience as a Pathway to Prosperity. <https://www.rbnz.govt.nz/-/media/project/sites/rbnz/files/publications/speeches/2024/resilience-as-a-pathway-to-prosperity---speech-by-christian-hawkesby.pdf>

- Policy choices involve a range of considerations and have potential implications for economic efficiency, distributional and fiscal outcomes down the track. It is not always easy to set these considerations and relevant trade-offs in a Financial Policy Remit. However, that mechanism allows an elected Minister to be more involved in those “risk appetite” judgement calls and trade-offs, within an agreed framework.
- Finally, a key policy tool in crisis management is the potential use of the Crown balance sheet in any financial institution or system rescue, which is ultimately the responsibility of the Minister of Finance. In crisis management, the Reserve Bank again becomes a key adviser given its expertise, systemic risk assessment, and operational capacity to provide market liquidity. But the Minister of Finance and government must make the final calls on deployment or otherwise of public funds to mitigate the effects of a bank or financial system failure.

Within this framework of working in partnership on financial stability, at times there will be natural tensions between the central bank and Minister of Finance, given the different roles, incentives and perspectives. In my view, these need to be dealt with early and transparently, to provide both democratic legitimacy and give the public trust and confidence in the long-term resilience of the financial system.

Partnership with regulators and industry

Of course, the sense of working in partnership needs to extend beyond central bank and Minister.

In New Zealand, we have a twin peaks regulatory model with the Reserve Bank the prudential regulator and Financial Markets Authority (FMA) the conduct regulator.

Together, the Reserve Bank and FMA co-chair the Council of Financial Regulators (COFR), with the other members being the Treasury, MBIE and the Commerce Commission. COFR members work together to facilitate co-operation and co-ordination between members to support effective and responsive regulation of the financial system in New Zealand. Collectively, these agencies have tools that all contribute to having a financial system that is resilient, competitive, efficient, innovative, and inclusive.

Internationally, given the connection with the Australian financial system, we work in partnership as part of the Trans-Tasman Banking Council (TTBC), comprising the Reserve Bank of Australia (RBA), Australia Prudential Regulation Authority (APRA), Australian Securities and Investments Commission (ASIC) and Australian Treasury; with RBNZ, FMA, and NZ Treasury. Trans-Tasman crisis preparedness is a key aspect of providing trust and confidence in our financial systems.

The need for partnership extends even further than our region of the world.

Globally, the financial system is changing rapidly with the evolving preferences of customers, new entrants and providers of financial services, new instruments such as cryptocurrencies, stablecoins and central bank digital currencies (CBDC), new real-time retail payments platforms, and new technologies such as the tokenisation of assets and the programmability of payments. The Bank for International Settlements (BIS) Innovation Hub has been at the forefront of preparing for this new world, while ensuring that central bank money and money sovereignty remains at its core.⁷

⁷ Finternet: the financial system for the future by Agustín Carstens and Nandan Nilekani (2024) <https://www.bis.org/publ/work1178.pdf>

There are areas where New Zealand's financial system is being left behind internationally, especially in real-time retail payments. Countries like India (with the Unified Payments Interface, UPI) and Brazil (with the Pix instant payments system) have leapfrogged into a new generation of technology, unlocking significant economic efficiencies and opportunities. Our neighbours in Southeast Asia are at the forefront of real-time, low cost, cross-border retail payments. The EMEAP (Executives' Meeting of East Asia Pacific Central Banks) has become an invaluable forum to share and learn from the experiences of our neighbours.

In New Zealand, we need to work together with our COFR colleagues, the financial industry, fintechs, academics, the business sector, communities, iwi and a range of other government agencies on the future of money, the future of cash, the future of banking, the future of payments and the future of insurance. The benefits to all New Zealanders will not be achieved without collective commitment and collective action.

While the Reserve Bank needs to continue protecting its operational independence for monetary policy decisions and setting prudential standards, we also need to embrace partnership to achieve our ultimate purpose of promoting the prosperity and wellbeing of New Zealanders.

Nāu te rourou, nāku te rourou, ka ora ai te iwi.

With our contribution and your contribution, the people will prosper.